

M/S Belani Sugars LLP v. State of U.P. & 3 Others

High Court of Judicature at Allahabad · Division Bench · 22 May 2023 (final order; detailed reasoning in the order of 18.5.2023, Neutral Citation 2023:AHC:112477-DB) · 2023:AHC:112477-DB · Writ-C No. 15283 of 2023 · **Writ petition disposed of in the petitioner's favour. The Division Bench held that the licensee could not refuse a new electricity connection to the petitioner — which had acquired the sugar unit of M/s Narsing Dev Sugar Pvt. Ltd. as a going concern in liquidation under the Insolvency and Bankruptcy Code, 2016 — on the ground of the erstwhile owner's arrears of about Rs.16 lakh under Clause 4.3 of the U.P. Electricity Supply Code, 2005, because those electricity dues, claimed by the respondents before the NCLT, were provided to stand extinguished and annulled and the transfer agreement extinguished all pre-effective-date dues against the consideration. The rejection order dated 3.4.2023, relying on the SARFAESI-auction decision in Srigdhaa Beverages, was found prima facie arbitrary and contrary to the Court's earlier order dated 14.2.2023 and the IBC 'clean slate' law in Ghanshyam Mishra. On the respondents ultimately agreeing to energise the connection on deposit of only the current connection charge of Rs.72,261, the petition was disposed of directing that deposit, on which the connection is to be energised within seven days; the Executive Engineer's personal appearance was exempted.**

Source file: WRIC(A)_15283_2023.pdf

HEADNOTE

A purchaser of an industrial unit in IBC liquidation cannot be denied a new electricity connection for the erstwhile owner's extinguished dues. The petitioner, M/s Belani Sugars LLP, acquired the sugar unit of M/s Narsing Dev Sugar Pvt. Ltd. as a going concern through a liquidation sale under the Insolvency and Bankruptcy Code, 2016 (NCLT, Allahabad Bench), under an agreement dated 18.9.2021 whose clauses 5.1-5.4 extinguished and annulled all pre-effective-date liabilities — including electricity dues — against the full consideration of Rs.7 crore; the electricity respondents had lodged their claim for those dues before the NCLT, and it was provided that the dues would stand extinguished. When the licensee (respondent no.4) nonetheless rejected the connection application by order dated 3.4.2023, invoking the Clause 4.3 arrears bar (Rs.16,07,286 due against the erstwhile owner) and relying on the Supreme Court's SARFAESI-auction decision in Telangana State Southern Power Distribution Co. Ltd. v. Srigdhaa Beverages, the Division Bench held this to be prima facie arbitrary and deliberate, and contrary both to its own earlier order dated 14.2.2023 (in Writ-C No. 31180 of 2022) — which had already held that the petitioner could not be denied a connection for the erstwhile company's arrears — and to the IBC 'clean slate' law in Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Co. Ltd. Srigdhaa was distinguished as a SARFAESI bank-auction case, whereas the present transfer was under the IBC through the NCLT. The Executive Engineer was directed to appear personally and show cause why the petition should not be allowed with exemplary cost; on 22.5.2023 the respondents produced an order energising the connection on deposit of only the current connection charge of Rs.72,261, and the petition was disposed of directing that deposit, on which the connection is to be energised within seven days, the officer's appearance being exempted.

FACTUAL SUMMARY

M/s Narsing Dev Sugar Pvt. Ltd., which ran a sugar unit at village Saidpur Dutt Nagar, District Baghpat, was liquidated under the Insolvency and Bankruptcy Code, 2016. During the proceedings before the National Company Law Tribunal, Allahabad Bench, the electricity respondents (nos. 2, 3 and 4) lodged their claims for electricity dues. The unit was ultimately transferred as a going concern to the petitioner, M/s Belani Sugars LLP, under an agreement dated 18.9.2021 between the liquidator and the petitioner for a total consideration of Rs.7,00,00,000; clauses 5.1 to 5.4 provided that all liabilities pertaining to the period prior to the effective date, including electricity dues, would stand extinguished, rescinded and annulled against the consideration. The petitioner having paid the consideration, it applied for a new electricity connection. In an earlier round (Writ-C No. 31180 of 2022), the Court by order dated 14.2.2023 held that the petitioner could not be denied a connection on the ground of arrears against the erstwhile company and directed respondent no.4 to consider the application and decide in accordance with law within four weeks. Despite that, by order dated 3.4.2023 respondent no.4 rejected the application, invoking para 4.3 of the U.P. Electricity Supply Code, 2005 (arrears of Rs.16,07,286 against the erstwhile owner) and relying on the Supreme Court's decision in Telangana State Southern Power Distribution Co. Ltd. v. Srigdhaa Beverages (a SARFAESI auction case). The petitioner filed the present writ (Writ-C No. 15283 of 2023). By a detailed order dated 18.5.2023 the Division Bench (Hon'ble Surya Prakash Kesarwani, J. and Hon'ble Anish Kumar Gupta, J.) distinguished Srigdhaa, invoked the IBC and Ghanshyam Mishra, found the rejection prima facie arbitrary, and directed the Executive Engineer to appear personally on 22.5.2023 to show cause against allowing the petition with exemplary cost. On 22.5.2023 the respondents

produced an order energising the connection on deposit of only the current connection charge of Rs.72,261, and the petition was disposed of accordingly.

REUSABLE CONSTRUCTIONS

1. Where an industrial unit is acquired as a going concern under the Insolvency and Bankruptcy Code, 2016 (via an NCLT-supervised liquidation sale) and the erstwhile owner's electricity dues were lodged as a claim before the NCLT and provided to stand extinguished and annulled, those dues cannot be revived, and the purchaser cannot be denied a new electricity connection under the Clause 4.3(f) arrears bar of the U.P. Electricity Supply Code, 2005 on the ground of the erstwhile owner's arrears. **orders of 14.2.2023 & 18.5.2023**
2. The IBC 'clean slate' principle (Ghanshyam Mishra v. Edelweiss) governs a transfer under the IBC/NCLT; a decision on a SARFAESI bank-auction (Srigdhaa Beverages), where the auction-purchaser may be liable for the previous owner's electricity dues, is distinguishable and cannot be relied on to demand the erstwhile owner's IBC-extinguished dues from an IBC purchaser. **order of 18.5.2023, para 4**
3. Where a statutory authority rejects an application in defiance of a prior binding order of the writ court, the court may require the officer to appear personally and show cause why the petition should not be allowed with exemplary cost. **order of 18.5.2023, paras 6-7**

HOLDING-UNITS

INTERPLAY · UP-2005::4.3(f)

RATIO

The Clause 4.3(f) arrears bar cannot deny a new connection to an IBC purchaser where the erstwhile owner's electricity dues stood extinguished before the NCLT

QUESTION

Can a licensee refuse a new electricity connection to a purchaser who acquired the unit as a going concern under the IBC, invoking the Clause 4.3 arrears bar for the erstwhile owner's dues, where those dues were claimed before the NCLT and provided to stand extinguished and annulled?

HOLDING

No. The petitioner acquired the unit as a going concern under the IBC through the NCLT, and the transfer agreement (clauses 5.1-5.4) extinguished and annulled all pre-effective-date liabilities, including electricity dues, against the consideration; the respondents had themselves lodged their claim for those dues before the NCLT, and it was provided that the dues would stand extinguished and annulled. In those circumstances the petitioner cannot be denied an electricity connection on the ground of arrears against the erstwhile company, and the Clause 4.3 arrears bar cannot be invoked. The Court had already so held in its order dated 14.2.2023 in the earlier petition. **orders of 14.2.2023 & 18.5.2023 (paras 2-5)**

EVIDENCE “in terms of para 4.3 of the Uttar Pradesh Electricity Supply Code, 2005, new electricity connection to the petitioner cannot be granted unless the electricity dues of the erstwhile owner is paid.” **order of 18.5.2023, para 2 (the rejected ground)**

EVIDENCE “the petitioner cannot be denied electricity connection on the ground that there are some arrears against the erstwhile company namely M/s Narsing Dev Sugar Private Limited.” **order of 14.2.2023 (WP 31180/2022, reproduced in order of 18.5.2023)**

EVIDENCE “it was provided by the NCLT that electricity dues shall stand extinguished and annulled.” **order of 18.5.2023, para 5**

FLAG Multi-order stack, no printed page numbers, paragraphs restart per order (pin_basis=date). The earlier order is referred to in the source as both '14.2.2023' and '4.2.2023' (a typographical inconsistency); the disposal date stated for WP 31180/2022 is 14.2.2023. Arrears figure appears as both Rs.16,07,286 and Rs.16,017,286 in the source.

INTERPLAY · IBC::238

RATIO

IBC extinguishment (Ghanshyam Mishra) overrides the Code arrears bar; a SARFAESI bank-auction precedent (Srigdhaa) is distinguishable

QUESTION

Does the Supreme Court's SARFAESI-auction decision in Srigdhaa Beverages justify demanding the erstwhile owner's electricity dues from a purchaser who took the unit under the IBC through the NCLT?

HOLDING

No. Srigdhaa Beverages related to property auctioned by a bank under the SARFAESI Act, whereas the present transfer was under the Insolvency and Bankruptcy Code, 2016 through the NCLT; the two regimes are distinct. The Court's earlier order and the present decision rest on the IBC and the 'clean slate' law clarified by the Supreme Court in *Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Co. Ltd.*, under which the dues of the corporate debtor claimed in the insolvency process stand extinguished. The Executive Engineer's reliance on Srigdhaa to reject the application was, prima facie, arbitrary and deliberate. [order of 18.5.2023, paras 4-6](#)

EVIDENCE “which relates to the property auctioned by the Syndicate Bank under the SARFAESI Act, whereas in the present set of facts, the order was passed by the National Company Law Tribunal, Allahabad Bench, Allahabad under the Insolvency and Bankruptcy Code, 2016.” [order of 18.5.2023, para 4](#)

EVIDENCE “Prima facie it appears that the respondent no.4 has arbitrarily and deliberately passed the impugned order and depriving the petitioner from running the industrial unit in question.” [order of 18.5.2023, para 6](#)

FLAG Keyed to IBC::238 as the doctrinal home of the IBC's overriding effect (the corpus convention for IBC-extinguishment holdings); the Court relied on *Ghanshyam Mishra* (a Section 31 'clean slate' authority) and the NCLT's extinguishment, without citing a section number.

PRINCIPLE TAGS

ibc-s238-overrides-sector-statutes Electricity dues of the corporate debtor, claimed before the NCLT and provided to stand extinguished under the IBC, override the Code's Clause 4.3 arrears bar; the new owner cannot be denied a connection for those extinguished dues. Lead authorities: *Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Co. Ltd.*. [orders of 14.2.2023 & 18.5.2023](#)

ibc-clean-slate-distinguished-from-sarfaesi-auction The IBC 'clean slate' (*Ghanshyam Mishra*) applies to an NCLT transfer, distinguishing the SARFAESI bank-auction line (*Srigdhaa Beverages*) under which an auction-purchaser may bear the previous owner's electricity dues. Lead authorities: *Telangana State Southern Power Distribution Co. Ltd. v. Srigdhaa Beverages*. [order of 18.5.2023, para 4](#)

authority-defying-prior-writ-order-show-cause-exemplary-cost The Executive Engineer rejected the application in defiance of the Court's earlier binding order; he was directed to appear personally and show cause why the petition should not be allowed with exemplary cost. [order of 18.5.2023, paras 6-7](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER EXEMPLARY COST SHOULD BE IMPOSED ON THE EXECUTIVE ENGINEER FOR THE ARBITRARY REJECTION

A show-cause was issued and personal appearance directed, but on the respondents producing the order energising the connection, the officer's appearance was exempted and no cost was imposed. [orders of 18.5.2023 \(paras 6-7\) & 22.5.2023 \(para 7\)](#)

RELATED CASES — SEE ALSO

SCJ-160 — IBC Section 238 overrides sector statutes; pre-effective-date electricity demand notices set aside on the *Ghanshyam Mishra* clean-slate principle — directly parallel.

SCJ-054 — IBC extinguishment; demand order set aside, the new owner not liable for the corporate debtor's pre-CIRP electricity dues.

SCJ-157 — Pre-CIRP electricity demand notices quashed as extinguished under the IBC — same interplay applied here.

SCJ-100 — IBC Section 238 overrides the Electricity Act recovery mechanism in liquidation — the going-concern/liquidation context closest to this liquidation sale.

SCJ-271 — Contrast: a SARFAESI auction-purchaser held liable for the erstwhile owner's electricity dues (*Srigdhaa* line) — the very distinction the Court drew to reject the licensee's reliance on *Srigdhaa*.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ghanshyam Mishra and Sons Pvt. Ltd. through the Authorised Signatory v. Edelweiss Asset Reconstruction Co. Ltd. through the Director and Others</i> 2021 SCC OnLine SC 313 Supreme Court of India	The IBC 'clean slate' principle: dues of the corporate debtor that are dealt with in the insolvency process (and not carried forward) stand extinguished, so a successful acquirer takes the concern free of such past liabilities.	Relied on order of 18.5.2023, para 4	Court	Relied on
<i>Telangana State Southern Power Distribution Company Limited & Anr. v. M/S. Srigdhaa Beverages</i> Civil Appeal No. 1815 of 2020, decided 01.06.2020 (Supreme Court) Supreme Court of India	In the context of a property auctioned by a bank under the SARFAESI Act, prior electricity dues on the premises may be recovered from / conditioned on the auction-purchaser.	Distinguished order of 18.5.2023, para 4	Respondent	Distinguished

SCJ-2217 · M/S Belani Sugars LLP v. State of U.P. & 3 Others · 2023:AHC:112477-DB · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.